



Free JK Rowling book

JK Rowling's newest book, will publish on a chapter-by-chapter basis for free. <https://digit.in/jun20-78>



Drones deliver PPE kits

The Federal Aviation Administration is allowing drones to deliver emergency medical supplies. <https://digit.in/jun20-79>

STARTUP CORNER

online coaching classes over physical ones as they are on-demand, convenient and personalised.

In the digital health sector, startups such as KlinikApp and Practo have seen increased user demand since they are providing online medical assistance. These apps are even facilitating COVID-19 testing at home through their platform. Startups such as Myupchar and 1mg have also recorded considerable traction in business over the past two months. Myupchar's medical teleconsultation service recorded a 300 per cent growth since the lockdown was implemented.

The healthcare startup sector is also witnessing a push. Existing tech startups are even actively switching to this sector due to its demand. Startups such as Nocca Robotics, Aerobiosys Innovations and AgVa Healthcare are developing affordable and portable ventilators to combat the shortage of them across the country. Startups with home workout equipment and apps are also steadily gaining traction since gyms are closed and running outside isn't too safe anymore. Apps such as Fitbit Coach, Workout Trainer, Nike Training Club, Shred and more are also seeing an influx of new users and subscribers (for the paid ones).

Digital streaming services or OTT platforms are also witnessing their stock prices rise. Dan Salmon, BMO Capital Market analyst, said in a research note, "Netflix is an obvious beneficiary if consumers stay home due to coronavirus (COVID-19 virus) concerns, and this has been reflected in considerable stock price outperformance". Even relatively less popular services such as Airtel's Xstream platform has registered a 50 percent increase in streaming activity. Bite-sized video apps such as the notoriously popular (or unpopular?), TikTok has also seen a surge in popularity. It was the most downloaded non-game app worldwide in March 2020

with over 115.2 million installs in that month alone. This represented a 98.4 percent increase over March 2019!

Agri-tech startups are also blossoming, some examples include AgriBazaar, Ergos and Agrostar which have done quite well during the lockdown. Ergos, a Bengaluru-based startup, offers micro-warehousing facilities across some districts in Bihar. It reported over 6,000 new registrations during the pandemic. Food, grocery and 'essentials' delivery services such as Big Basket, Grofers, Swiggy, Zomato and others have also been in high de-



Purchasing groceries online has become the norm in most urban households

mand. So much so that even Amazon sees the promise in this sector and recently announced the launch of its food delivery service, Amazon Food, in India. While Swiggy and Zomato saw a drop in popularity in March this year, when the lockdown was just implemented, they saw a steady rise in popularity after that, mostly due to the implementation of services such as no-contact delivery, delivery of groceries, meat and essential items, and providing masks and sanitisers to delivery agents.

NEW INVESTMENT TRENDS

After a record-shattering Q4 of 2019, VC (Venture Capitalists) investments in Asia dipped to a 12-quarter low, as per KPMG's Venture Pulse study. In Q4'19, the investments were at a record high of \$6 billion in Asia, however, in Q1'20, it dropped to a mere \$2.2 billion due to the economic uncertainty sur-

rounding the pandemic. Despite this, India did see a few good deals in Q1'20 which include the aforementioned Byju's and Unacademy investments. Additionally, Delhi-based startup, Meritnation was acquired for ₹1,350 crore by Aakash Educational.

In 2020, new investment trends for VCs were seen where companies with primarily digital business models became elusive investment opportunities. Startups in e-commerce, gaming, virtual meetings, delivery and more, in addition to the above, became the new sought-after ones for investments. Additionally, investors are also keeping a keen eye on health, biotech, pharmaceuticals, and life sciences sectors since their applications are manifold in the current environment. Of course, startups dabbling in AI and data science remain popular investment opportunities especially if they embrace the new social-distancing norms in their products and strategies.

The woes of the pandemic have incited major funding from philanthropists and social impact investors to counteract COVID-19 and the associating challenges. While overall VC activity is slowing down, increased collaboration has been taking place between VCs, banks, and other organisations to pool funds for COVID-19 problem-solving innovations. Corporates, governments and not-for-profit organisations are also part of this philanthropic effort. Additionally, a number of investors and established startups in India banded together to fund the country's startup ecosystem during the pandemic. A group including prominent industry figures such as Nandan Nilekani, Kalyan Krishnamurthy (Flipkart), Vijay Shekhar Sharma (Paytm), Ritesh Agarwal (Oyo) and many more funded 32 COVID-19 related projects by startups as of April 28. VC and private equity firms such as Accel, Venture Partners, Matrix Partners India, Tiger Global and more have also taken part in this initiative. With a generous serving of philanthropic and government support, many startups can become 'pandemic-proof'.